Romania's economy has cooled, but inflation hasn't. Years of wage-driven demand, repeated energy and tax shocks, and stubborn services inflation are making the road back to price stability unusually slow



Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies

Confirm selection

Accept all

than two years. Growth has stalled, wage growth has slowed sharply, real incomes are under pressure, and fiscal policy has tightened. Yet underlying inflation remains stubbornly high relative to both the rest of Europe and the National Bank of Romania's (NBR) target.

This disconnect between a cooling economy and persistent inflation is Romania's central macroeconomic story. While the country is still undergoing some income and price level convergence with the euro area – making a modest inflation differential structurally normal – that benign catch-up has been overwhelmed by much stronger forces. Years in which nominal

incomes and domestic demand outpaced productive capacity have been followed by a succession of overlapping energy, tax, and administered-price shocks, each feeding into wages, services, and short-term expectations before the previous shock had time to fade.

The headline figure is falling, but the underlying picture remains fragile

Romania's annual consumer price inflation fell from 10.4% in June to 6.2% in August, before edging up to 6.6% in September (6.5% on the EU-comparable HICP measure, with prices rising 0.77% in S
ir
a
d

A
a
t
e

T
d
h
s
e
s

Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies

A relay race of shocks

Disinflation has been so slow partly because Romania has rarely enjoyed a clean window for one shock to fade before the next arrived. The pandemic supply shock was followed by the 2022 energy crisis. Energy price caps softened the initial blow to households but merely postponed the adjustment; their subsequent unwinding was followed by VAT and excise hikes in 2025, resetting the price level again. Before those effects could wash through wages and contracts, a new energy shock emerged in 2026. The NBR's August Inflation Report cited geopolitical

tensions involving Iran and low Danube water levels – which constrained hydro and nuclear output – among the factors pushing fuel and electricity costs higher, prompting the bank to raise its end-2026 inflation forecast to an optimistic 6.1%.

Because inflation is path-dependent, this sequence is more than a statistical twist. A temporary shock that leaves wage negotiations and pricing behaviour unchanged eventually vanishes from the inflation rate; a shock embedded into contracts and expectations does not.

Romania is unusually vulnerable to this dynamic. Food and energy n
r
E
h
f
f
a
t

S
c

I
7
n
a

competition. A manufacturer facing higher local costs can automate, relocate, or lose market share to imports. A restaurant, hairdresser, dental clinic, or maintenance firm cannot import its service from Germany; its costs and customers are local, making wages, rent, and domestic expectations the primary drivers of pricing.

While the 11.1% services figure also reflects lumpy adjustments in rents and regulated utilities, the broader message is clear: inflation has migrated from energy and traded goods into prices set inside Romania.

Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies

Wages: the legacy of a boom that has already ended

Wages are central to this story, though their timing matters more than their current growth rate. At the macro level, unit labour-cost growth roughly equals wage growth minus productivity growth:

Unit labour-cost growth ≈ wage growth – productivity growth

When wage growth outpaces productivity, the cost of producing a unit of output rises, forcing firms to accept lower margins, cut hiring, or raise prices.

Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies

beneath the cyclical slowdown, ready to reignite wage pressures once demand returns.

Imports: the safety valve that shows up as a deficit

When domestic supply cannot keep pace with demand, imports act as a safety valve. Both household consumption and capital investment in Romania are heavily import-intensive; when the government raises wages, pensions, or infrastructure spending, a large share of that demand leaks abroad.

For several years, excess domestic demand was absorbed not just by higher local prices, but by a widening trade gap, resulting in a current account deficit of 8.2% of GDP in 2024 and 7.9% in 2025, the largest in the EU. Imports thus prevented domestic inflation from rising even higher, but at the cost of a severe external imbalance and greater vulnerability to global commodity prices and exchange-rate shifts. Inflation and the current account deficit are ultimately two sides of the same coin: domestic demand persistently outrunning productive capacity.

Fiscal policy: yesterday's accelerator, t

Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies

demand effect is disinflationary.

This explains how Romania can combine weak activity with still-high inflation. Romania is currently caught between those two stages. The inflation data continue to reflect the impact of higher taxes, energy costs and regulated price increases introduced as part of the adjustment, even as the same fiscal correction is weighing on demand. Fiscal policy is now contributing to the cure, but some of the instruments used to achieve the cure temporarily worsen the inflation print.

The NBR and monetary policy: constrained, not cosmetic

Despite inflation sitting well above the NBR's 2.5% target, expectations have not fully de-anchored. Instead, anchoring has become horizon-dependent. Professional forecasters still see longer-term inflation near the top of the target band (with the NBR projecting 3.4% by the end of 2027), showing the target still anchors the destination. However, households and firms base their short-term pricing and wage decisions on the supermarket prices and utility bills they see today, leaving the target with little grip over the near-term route.

Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies

over the period during which those decisions pay off. If inflation is expected to decline toward 3.0-4.0%, nominal borrowing costs above 5.0% imply materially positive ex-ante real rates. The NBR's constraint is therefore not simply a reluctance to tighten. With the economy near stagnation, fiscal policy tightening, and supply-side shocks unresponsive to rate hikes, the NBR is sensibly relying on fiscal drag and weak consumption to do the heavy lifting – even if the lags are long.

The exchange rate: stabilising inflation, delaying adjustment

The leu formally floats, but the NBR has historically limited large EUR/RON movements. For an import-intensive economy, that policy has clear benefits. A large depreciation would quickly raise the domestic cost of imported goods. Exchange rate stability therefore acts as a second nominal anchor alongside the inflation target. But it also changes the way the economy adjusts.

The euro traded near RON 5.09 in March 2026, around RON 5.23 by May and roughly RON 5.34 by early October – a noticeable weakening of the leu after years of remarkable stability not far from the 5.00 level. Even so, the currency has moved far less than domestic costs. When Romanian wages and prices rise persistently f
r

T
c
2
s
t
o
c
c
c
b
s
w

Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies

That leaves the NBR facing a genuine trade-off. Allow more nominal depreciation and import additional inflation in the short term, or limit depreciation and accept a gradual deterioration in cost competitiveness when domestic costs rise faster than those of trading partners. Romania has largely opted for a modified version of the latter approach, managing to combine exchange rate stability with rapid wage growth and persistent inflation for several years. The needed adjustment did not disappear, however, but it was largely redirected into real appreciation and a wider current-account deficit. A stable exchange rate also preserved the purchasing power of rapidly rising incomes. That helped support

consumption growth and, given Romania's high import propensity, channelled part of the demand expansion into imports and a larger external deficit.

Productivity: the only durable solution, but one that takes time

Weak consumption and high interest rates can suppress inflation temporarily, but the only lasting cure is expanding productive capacity: better infrastructure, higher labour participation, stronger skills, and a larger tradable sector.

B
s
R
i
g
w
t
t
p

Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies

restrictive, real incomes are shrinking, consumption is weak, and growth is near zero. Yet the economy entered this slowdown carrying a massive overhang of unresolved cost pressures from 2023-24 and a fresh round of tax and energy shocks. Consequently, the most important metrics over the coming months will not be headline CPI prints, but adjusted CORE2 and services inflation. If they begin to fall as weak demand works through the economy, Romania is navigating a longer but ultimately conventional disinflation. If they remain sticky, domestic pricing has become backwards-looking enough to require a much longer period of economic

slack – or sharper policy intervention.

For now, the evidence points to persistence rather than de-anchoring. It is also important not to confuse Romania's inflation differential with macroeconomic imbalance. As long as the economy continues to converge towards euro-area income and productivity levels, the Balassa-Samuelson effects are likely to generate a modest inflation premium, particularly in domestically oriented services.

Romania is not trapped in a permanent high-inflation regime, nor has the recent dip in headline CPI completed the

Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies

irrespective of a particular user's means, financial situation or investment objectives. The information does not constitute investment recommendation, and nor is it investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument.

Read more

Share

Download